

4-3a The Supply Curve: The Relationship between Price and Quantity Supplied

The **quantity supplied** (the amount of a good that sellers are willing and able to sell) of any good or service is the amount that sellers are willing and able to sell. There are many determinants of quantity supplied, but once again, price plays a special role in our analysis. When the price of ice cream is high, selling ice cream is quite profitable, and so the quantity supplied is large. Sellers of ice cream work long hours, buy many ice-cream machines, and hire many workers. By contrast, when the price of ice cream is low, the business is less profitable, so sellers produce less ice cream. At a low price, some sellers may even shut down, reducing their quantity supplied to zero. This relationship between price and quantity supplied is called the

law of supply (the claim that, other things being equal, the quantity supplied of a good rises when the price of the good rises)

: Other things being equal, when the price of a good rises, the quantity supplied of the good also rises, and when the price falls, the quantity supplied falls as well.

The table in **Figure 5** shows the quantity of ice-cream cones supplied each month by Ben, an ice-cream seller, at various prices of ice cream. At a price below \$2, Ben does not supply any ice cream at all. As the price rises, he supplies a greater and greater quantity. This is the

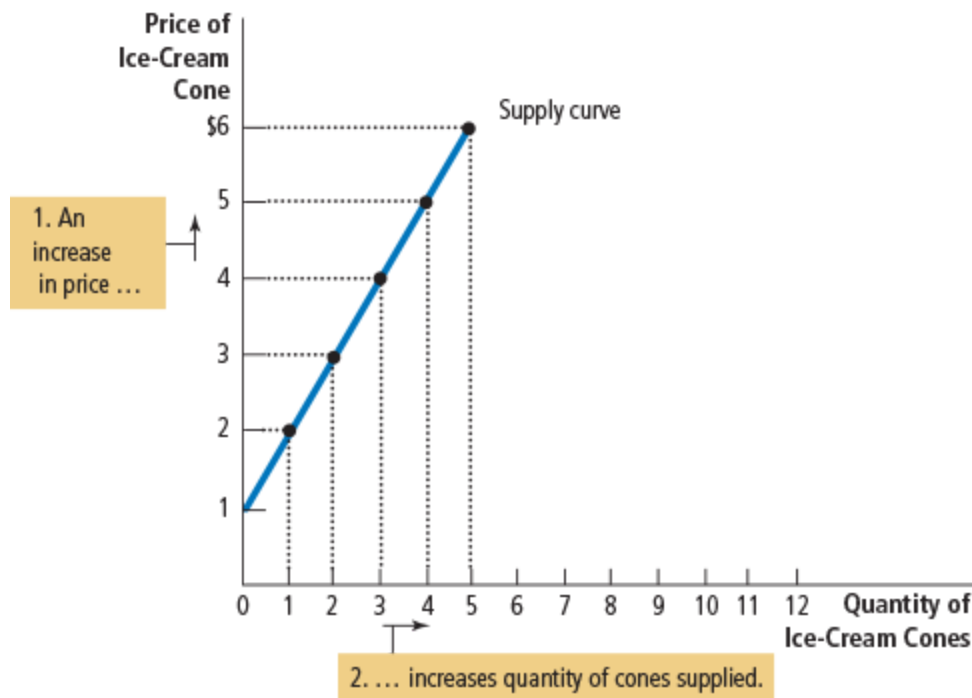
supply schedule (a table that shows the relationship between the price of a good and the quantity supplied)

, a table that shows the relationship between the price of a good and the quantity supplied, holding constant everything else that influences how much of the good producers want to sell.

Figure 5

Ben's Supply Schedule and Supply Curve

The supply schedule is a table that shows the quantity supplied at each price. This supply curve, which graphs the supply schedule, illustrates how the quantity supplied of the good changes as its price varies. Because a higher price increases the quantity supplied, the supply curve slopes upward.



The graph in Figure 5 uses the numbers from the table to illustrate the law of supply. The curve relating price and quantity supplied is called the **supply curve** (a graph of the relationship between the price of a good and the quantity supplied).

. The supply curve slopes upward because, other things being equal, a higher price means a greater quantity supplied.